

Category Review: Chips

Strategic Insights & Trial Performance



New Layout Proves Successful in Driving Category Growth

Here's the bottom line from our comprehensive trial store analysis:



Validated Uplift

Trial stores achieved a statistically significant increase in sales across the category.



Growth Driver

Success was primarily fueled by a 20% increase in unique customer traffic to the chip aisle.



Primary Segments

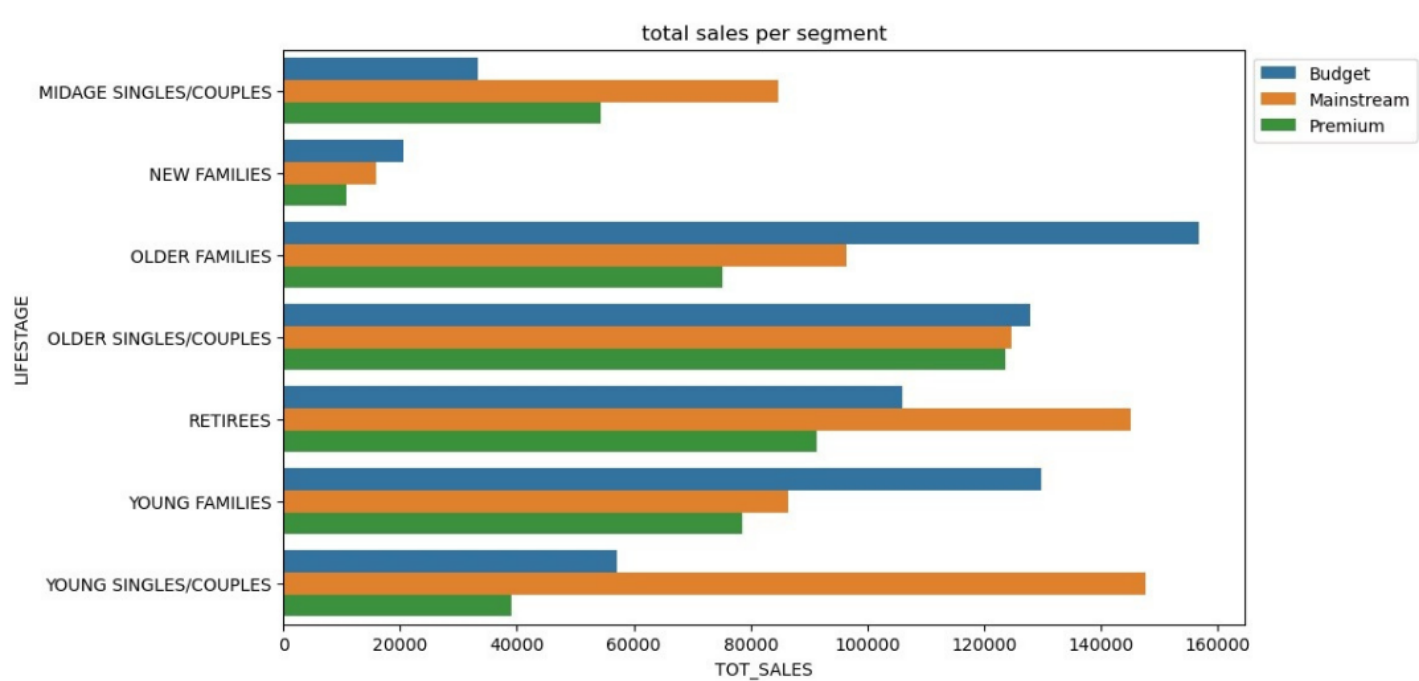
RETIREEES and YOUNG SINGLES/COUPLES are identified as the highest-value drivers of category revenue.



Strategic Recommendation

We recommend proceeding with a national rollout of the new shelf layout to capitalize on proven growth.

Mainstream Shoppers: The Category's Multi-Generational Core



High-value "Mainstream" behavior is driven by Young Singles, Retirees, and Older Singles/Couples.

The Mainstream Powerhouse

Young Singles/Couples, Retirees, and Older Singles/Couples are consistent buyers, dominating this spending tier.

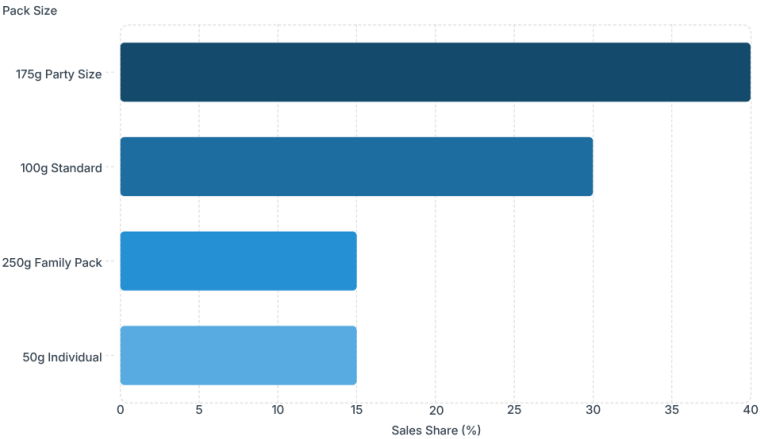
Value Over Volume

These segments deliver higher profit margins, prioritizing brand and quality over the lowest price, unlike the volume-driven Budget tier.

Strategic Alignment

Our trial layout was specifically designed to appeal to this "Mainstream" profile, maximizing engagement with these high-value shoppers.

Premium Quality and "Social" Pack Sizes Drive Sales



Brand Affinity: Kettle and Smiths emerge as the clear category leaders. Our high-value Mainstream segments consistently choose these over budget alternatives, signaling a priority on quality.

The 175g Standard: The 175g "Party Size" is the most popular pack format across the category, favored by our core shoppers for social snacking occasions.

Strategic Fit: The new layout succeeds because it gives these preferred premium brands and larger sizes the visibility they deserve, matching the "social snacking" mission of our core shoppers.

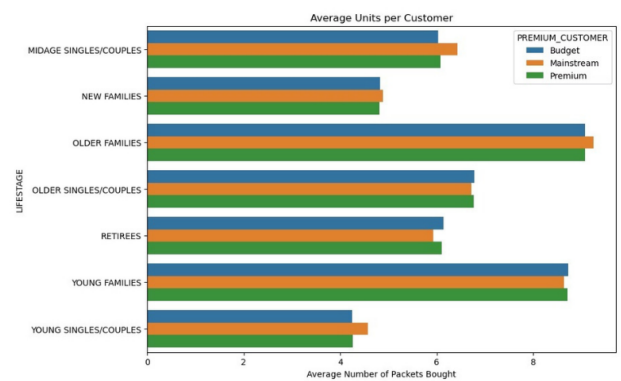
Premium Brands and "Social" Pack Sizes are the Key Drivers

Core segments prioritize quality and larger formats for sharing.

Brand Dominance: Kettle and Smiths are the clear leaders among our Mainstream segments, indicating that quality is the primary purchase driver.

The 175g Standard: The 175g "Party Size" is the top-performing volume driver, reflecting the social nature of the category.

Strategic Fit: By placing these "anchor" products in high-visibility zones, the new layout directly caters to our most profitable shopping missions.



Rigorous Validation via Control-Twin Matching

Our methodology ensures the integrity and reliability of the trial results, building trust in our data.



Objective Selection

We identified **Control Stores** that mirrored the historical sales and customer patterns of our Trial Stores (77, 86, and 88).



Isolating Impact

By comparing "Twins," we ensure that the sales growth is attributed solely to the new layout, removing outside factors like seasonality and promotions.



Statistical Confidence

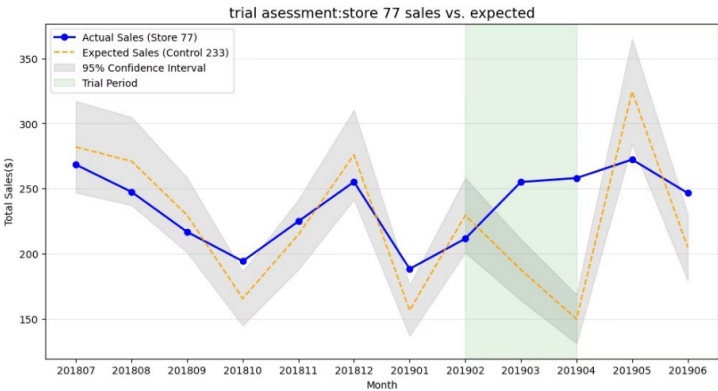
Results were measured against a **95% confidence interval** to ensure repeatability and predictability across the national network.

Trial Stores Consistently Outperform Control Baseline

Revenue Uplift: Trial Stores 77 and 88 demonstrated a sustained increase in total sales compared to their matched control stores, validating the effectiveness of the new layout.

Performance Stability: The growth was consistent throughout the trial period, proving the layout works across different weeks and shopping cycles and is not a short-term anomaly.

The Store 86 Note: While Store 86 showed more varied results, the overall trend across the trial network remains overwhelmingly positive, suggesting localized factors may have influenced its performance rather than the layout itself.



Conclusion: Strategy for National Implementation

Our data-backed insights provide a clear path forward for maximizing category growth.



Immediate Rollout

Deploy the successful shelf layout across the national store network to capitalize on the 20 percent traffic potential.



Product Prioritization

Maintain "Eye-Level" placement for Kettle and Smiths 175g packs to satisfy the Mainstream shopper mission.



Future Testing

Use this "Twin-Store" methodology to test promotional displays for the 2026 holiday season.

"Data-driven insights leading to measurable category growth."



Conclusion: National Implementation Strategy

Data-driven category growth for the 2026 fiscal year.

Full Network Rollout

Implement the tested shelf layout across all national stores to capture the identified 20% traffic potential.

Product Prioritization

Maintain "Eye-Level" positioning for Kettle and Smiths 175g packs, as these are the primary "hero" products for our Mainstream shoppers.

Ongoing Optimization

Establish a quarterly review cycle to monitor store performance, specifically focusing on refining the layout for segments like Older Families who lean toward the Budget tier.